

Ashok Hinduja, chairman, of IndusInd International Holdings Ltd, said, "Once the report comes, it will go to the board. They will review (the report); they have their various committees. And then, they will take a call on who is the person responsible for the past so many years—whether it was one person, two persons, or whether it was an error."

Hinduja was referring to the expected outcome of an external audit by PwC, which had been engaged to validate the bank's in-house review of its derivatives book, published on April 15. On April 26, Grant Thornton submitted its report to the bank's board on the root causes of the mess.

More heads may roll when a new CEO walks in. Many names are doing the rounds from rival banks, but managing IndusInd Bank at this

Sobti's condition was that his entire A-team would troop into IndusInd Bank. With the recent changes at IndusInd Bank, the residual team from back then is out of the system.

The Hinduja has made it clear they will infuse funds. A key development to watch out for is if the promoter group will now appoint another nominee on the board to represent it. Capital apart, the new boss at the bank cannot be a unilateral choice of the Hinduja; Mint Road will have to be dialled in at every step. Simply put, the job profile of the incoming head at the bank has been reset.

An Internal Working Group (IWG) constituted by the RBI to review the extant guidelines on ownership and corporate structure for Indian private sector banks submitted its report on November

mechanism for large conglomerates, including consolidated supervision." The blowout at IndusInd Bank will cast its shadow on the above.

The non-resident promoter group interest in IndusInd Bank is unique, and we need to step back a little in time here. In its commentary at the release of its discussion paper on the entry of new banks in the private sector (August 11, 2010), the central bank said the revised 2001 guidelines by and large were still cautious.

Large industrial houses were not permitted to promote new banks. However, individual companies, directly or indirectly connected with large industrial houses, were permitted to own 10% equity of a bank, but without any controlling interest.

32 |

UNDER THE NEW ARRANGEMENT, SEN AND RAO WOULD REPORT TO AN OVERSIGHT COMMITTEE HEADED BY THE CHAIRMAN OF THE BANK, SUNIL MEHTA

stage will call for more than banking skills. The new boss will have to engage with the Reserve Bank of India (RBI) more closely. It will not be surprising if he is also given a "to-do" worksheet which may include the clean-up of housekeeping. The batting order set up by Kathpalia will change.

When IndusInd Bank completed three decades of operations under Solomon Raj as its MD and CEO, it was largely dealing in corporate loans and was still to get the retail story right. Then, a Hinduja-group concern, Ashok Leyland Finance, was merged with the bank; it also got into a tiff with RBI in 2007 over the way the bank was being run. The Hinduja got Romesh Sobti, who was country-head at ABN Amro in India for a decade to steer the bank. The grapevine says

26, 2021. The IWG had made a total of 33 recommendations. After examining the comments and suggestions received from stakeholders and members of the public, the central bank accepted 21 recommendations (some with partial modifications, where considered necessary). "The remaining recommendations are under examination," said RBI.

Of these, the critical one was the entry of new private banks. The IWG was for "large corporate/ industrial houses as promoters of banks," albeit after necessary amendments to the Banking Regulations Act (1949).

This was to deal with "connected lending and exposures between banks and other financial and non-financial group entities; and strengthening of the supervisory

But the Hinduja has secured a banking licence—IndusInd Bank—in 1993, even as it had two other non-financial concerns in India: Ashok Leyland and Castrol.

In the wake of several banking crises, beginning with Yes Bank tripping, followed by Punjab and Maharashtra Cooperative Bank (in between there was also Chanda Kochhar at ICICI Bank), Mint Road in May 2023 undertook a major initiative. In a first of its kind, then-Governor Shaktikanta Das and his top aides addressed the full boards of state-run and private banks in May. The issues taken up were governance, ethics, the role of the boards, and supervisory expectations.

In short, the RBI's institutional memory is elephantine; IndusInd Bank will extract a heavy price. **BT**